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Video Lectures

Additional Readings

Reading: An Empirical Evaluation of Accounting Income Numbers
1h

Discussion Prompt: Short Selling
20 min

Quiz

Practice Assignment: Practice Quiz
Submitted

Graded Assignment: Quiz 4
40 min

Your grade: 100%

Your latest: **100%** • Your highest score: **100%** • To pass you need at least 60%. We keep your highest score.

Next item

Practice Quiz

1. Which of these is not a correct holding period in PEAD? (Select all that apply) **1 / 1 point**

   ☑ 6 months

   Correct
   Correct answer!! The holding period should be less than a quarter.

   ☑ One year

   Correct
   Correct answer!! The holding period should be less than a quarter.

2. What is disposition effect? **1 / 1 point**

   ◉ The **disposition effect** is an anomaly discovered in behavioral finance. It relates to the tendency of investors to sell shares whose price has increased, while keeping assets that have dropped in value.

   ○ The **disposition effect** is an anomaly discovered in behavioral finance. It relates to the tendency of investors to keep shares whose price has increased, while selling assets that have dropped in value.

   Correct
   Correct Answer!! This is the definition of Disposition effect.

3. The quarterly EPS details for a firm are as follows: **1 / 1 point**

Year	Quarter	EPS
2013	Q 1	125
2013	Q 2	127
2013	Q 3	121
2013	Q 4	135
2014	Q 1	139
2014	Q 2	131
2014	Q 3	139
2014	Q 4	137
2015	Q 1	141
2015	Q 2	143
2015	Q 3	139
2015	Q 4	145
2016	Q 1	147
2016	Q 2	148
2016	Q 3	151
2016	Q 4	153

   Calculate the expected earnings for 2017 Q 1

   ◉ 138.8
   ○ 130.5
   ○ 142.9
   ○ 149.6

   Correct
   Correct answer!! Expected earnings are the average earnings.

4. The quarterly EPS details for a firm are as follows: **1 / 1 point**

Year	Quarter	EPS
2013	Q 1	120
2013	Q 2	127
2013	Q 3	121
2013	Q 4	135
2014	Q 1	135
2014	Q 2	131
2014	Q 3	139
2014	Q 4	137
2015	Q 1	140
2015	Q 2	143
2015	Q 3	139
2015	Q 4	145
2016	Q 1	143
2016	Q 2	148
2016	Q 3	151
2016	Q 4	153

   The actual EPS for 2017 Q 1 is 160. What are the unexpected earnings for 2017 Q 1?

   ◉ 21.18
   ○ 29.35
   ○ 31.25
   ○ 36.25

   Correct
   Correct answer!! Unexpected earnings = Actual - Average.

COACH

Ready to review what you've learned before starting the assignment? I'm here to help.

Help me practice Let's chat

Assignment details

Submitted Nov 27, 3:00 AM GST

Attempts Unlimited

Retry

Your grade

To pass you need at least 60%. We keep your highest score.

100%

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